EQT and Range merger analysis

Tobenna Agubuche | 27 October 2026 | Announcement terms, LTM June 2026 earnings

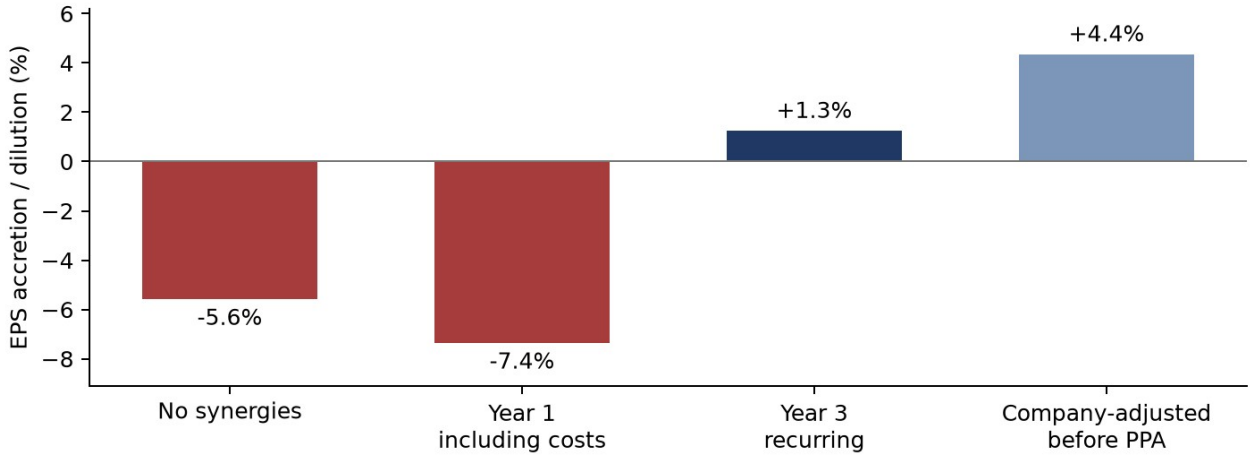
Reject as priced on this model. The USD325m annual synergy target produces +1.3% recurring EPS accretion after retaining stock compensation and an illustrative purchase-accounting charge. It falls short of the USD344m needed to cover the equity premium and costs. The shortfall is USD135m even with perpetual synergies. Verify closing shares, primary prices and purchase accounting before treating this as an executable recommendation.

Why this deal matters

EQT announced the all-stock acquisition on 26 October. The combination connects Appalachian gas supply and infrastructure to demand from LNG, power and industry. Range shareholders receive 0.987 EQT shares each. The companies target USD325m of annual synergies within two years. The longer-term pathway above USD600m is excluded from the base case. The announced enterprise value above USD50bn refers to the combined company, not the purchase price. [1]

What EQT shareholders receive

Measure	Model result
Equity consideration / premium, closing share proxies	USD12.97bn / USD2.21bn
New EQT shares / Range ownership	233.1m / 27.0%
EQT standalone normalised EPS	USD4.14
Year 1 EPS including integration and fees	USD3.83 (-7.4%)
Year 3 recurring EPS	USD4.19 (+1.3%)
Company-adjusted year 3 EPS before PPA	USD4.32 (+4.4%)
No-synergy recurring EPS effect	-5.6%



Earnings quality and integration

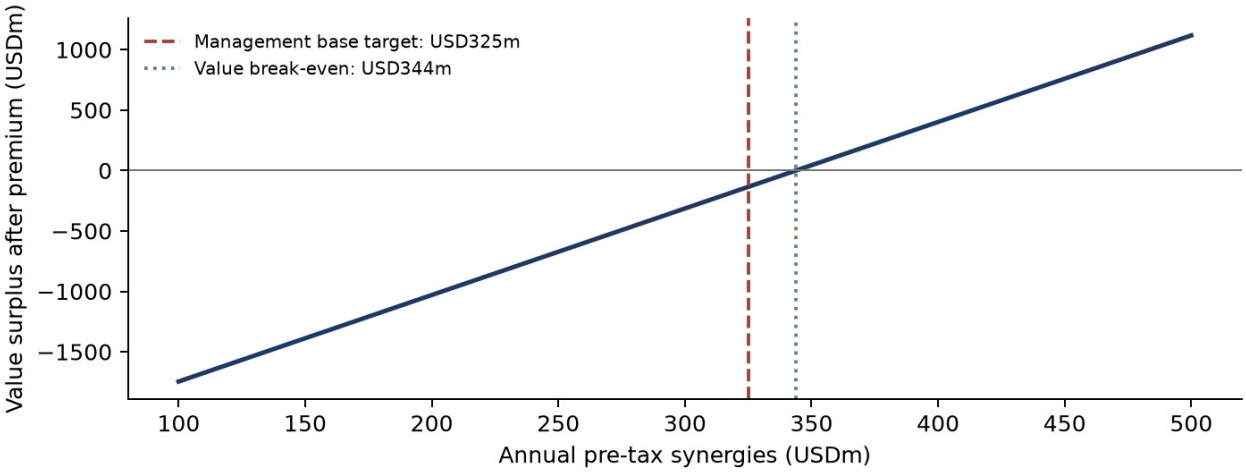
LTM earnings equal FY2025 less H1 2025 plus H1 2026. EQT adjusted attributable net income is USD2,601.2m. Range adjusted net income is USD875.6m, including a USD47.6m pre-tax stock-compensation addback. Retaining that expense at an assumed 25% tax rate reduces Range earnings to USD839.9m. [2-5]

The model assumes USD1,500m of depreciable fair-value uplift over 15 years, USD300m integration costs split 60/40 across years 1 and 2, and USD50m fees. These are analyst assumptions. Year 1 earns half the synergy run rate. Stock consideration requires no acquisition cash payment, but issuing shares still transfers value. Integration and fees consume USD350m gross cash. The model does not establish liquidity capacity.

Accretion is not the same as value creation

Recurring EPS needs USD266m of annual pre-tax synergies to break even. The value test needs USD344m. It discounts assumed after-tax cash savings at 10%, allows half the run rate in year 1, then holds savings flat forever. Costs reduce that value. This optimistic perpetuity yields USD2.08bn net savings against the USD2.21bn premium. Limiting savings to 15 years increases the shortfall to USD719m.

The value break-even exchange ratio is 0.977, versus the agreed 0.987. This is a ceiling under the stated price proxies and savings assumptions, not a target price. No standalone intrinsic valuation was performed.



What changes the decision

Relative earnings and synergy case	Year 3 recurring EPS effect
Down: Range earnings -20%, half synergy target	-6.9%
Base: constant earnings, full USD325m target	+1.3%
Up: Range earnings +20%, full USD325m target	+6.0%

EQT earnings stay constant in these cases. The stress isolates Range's relative earnings contribution. It is not a calibrated Henry Hub price sensitivity. The workbook also varies the exchange ratio and annual synergies. Approval would require evidence supporting savings above the value break-even level, lower costs or a lower effective premium. The USD600m pathway needs a separate execution case.

Evidence to review

- Confirm actual closing shares and award conversion. The model uses Q2 diluted weighted shares of 629.049m for EQT and 236.210m for Range. This produces USD12.97bn equity consideration, versus Reuters' USD12.83bn based on a different share count. [3,5,6]
- Verify primary exchange prices. USD55.63 for EQT and USD45.53 for Range are rounded proxies inferred from Reuters' USD54.91 offer and 20.6% premium. They are not independently verified closing prices. [6]
- Obtain final purchase accounting, reserve depletion, debt fair values, tax attributes and the integration plan. The historical GAAP lens in Excel is not SEC pro forma EPS.
- Refresh earnings separately when Q3 results are available. This freezes the announcement analysis at LTM June 2026 and uses full post-close years, not calendar 2027 forecasts. Close is expected Q1 2027, subject to approvals. [1]

Sources

[1] EQT merger announcement, 26 Oct 2026, transaction details and synergy target. [2] EQT FY2025 results, attributable and adjusted NI reconciliation. [3] EQT Q2 2026 results, six-month NI and diluted shares. [4] Range FY2025 results, pp11-12 net income reconciliation. [5] Range Q2 2026 results, pp9,11-12. [6] Reuters via Investing.com, 26 Oct 2026, offer value and premium, secondary cross-check. Full links and locators are in the workbook Sources tab and project README.